

Tentative Rulings for July 22, 2026 Department PS2

**To request oral argument, you must notify Judicial Secretary
Carol Delfosse-Kidd at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department PS2 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT TELEPHONICALLY WHEN REQUESTING ORAL ARGUMENTS.

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 644 5616**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVPS2406011	QUIET WING AEROSPACE, LLC VS COULSON AVIATION (USA), INC.	PLAINTIFF/X-DEFENDANT QUIET WING AEROSPACE, LLC'S MOTION FOR SUMMARY ADJUDICATION ON COMPLAINT FOR BREACH OF CONTRACT/WARRANTY

Tentative Ruling: Granted.

Moving party to provide notice pursuant to CCP 1019.5.

Beginning in 2020, Plaintiff Quiet Wing Aerospace, LLC ("Plaintiff") and Defendant Coulson Aviation (USA), Inc, ("Defendant") began discussion regarding a mutually beneficial business arrangement relating to auxiliary aircraft fuel tanks for certain Boeing aircrafts. Negotiations broke down in 2023 but were later resumed. In October 2023, Defendant represented that it wanted to check whether the fuel tank would fit Boeing 300 series aircraft. Plaintiff agreed to lend Defendant a tank for the single purpose of fit testing it. Defendant picked up the tank, as well as drawings, plans and specs for the tank. On December 17, 2023, Plaintiff sent Defendant a proposed cooperation agreement. Defendant did not agree to the terms and made redline changes. Ultimately, the parties were not able to come to an agreement. Plaintiff demanded the return of the tank and drawings and began making arrangements for pickup. However, as of September 2024, Defendant refused to return the property.

On September 25, 2024, Plaintiff filed its Complaint. It asserts four causes of action for: (1) Conversion; (2) Injunctive Relief; (3) Declaratory Relief; and (4) Breach of Nondisclosure Agreement/Specific Performance.

On December 17, 2024, the Court issued a temporary restraining order ("TRO").

On January 10, 2025, the Court issued an order for writ of possession, directing Coulson to turn over possession of the tank and drawings to Quiet Wing. (RJN Ex. E.) On the same day, the court issued a preliminary injunction prohibiting Coulson from transferring any interest in Quiet Wing's property by sale, concealing or removing Quiet Wing's property, and impairing the value of the property; and mandating that Coulson transmit to Quiet Wing various certifications, including that no copies of the drawings had been made and to destroy or return any copies that had been made. (RJN Ex. F.) Those certifications were eventually provided after Quiet Wing applied for an OSC re: why Coulson and its COO should not be found in contempt of court for not producing the required certifications. (UMF 25-27.)

The tank, disputed equipment, is now back in Quiet Wing's possession pending final resolution of the parties' dispute over its ownership and possessory rights.

On January 16, 2025, Coulson Aviation filed its Cross-Complaint against Quiet Wing alleging: (1) breach of oral agreement; and (2) promissory estoppel.

On July 25, 2025, the court entered a Stipulation and Protective Order that restricts the use of materials designated "confidential" to this litigation and expressly prohibits any use "for any business or other purpose whatsoever." (Protective Order ¶7.)

Plaintiff Quiet Wing brings two separate motions for summary judgment/adjudication. The first is a motion for summary adjudication as to the third and fourth causes of action in its Complaint. The third cause of action is for declaratory relief. Quiet Wing argues the undisputed material facts

demonstrate it owned the tank and drawings and Quiet Wing is entitled to final possession of those items. The fourth cause of action is for breach of the nondisclosure agreement/specific performance. Quiet Wing argues Coulson failed to comply with the terms of the NDA and Quiet Wing's requests, making Quiet Wing entitled to specific performance.

Coulson opposes both motions arguing there are triable issues of material facts as to all of the challenged causes of action. Coulson argues there was an agreement between the parties and it did not breach the NDA between the parties. Coulson argues it purchased the tank pursuant to a purchase agreement between the parties.

Request for Judicial Notice (RJN)

In support of its motion for summary adjudication on its Complaint, Quiet Wing asks the court to take judicial notice of eleven (11) documents and four (4) facts. The documents are all court records from the instant action which are subject to judicial notice under Evidence Code §452(d). 9 documents are GRANTED.

Quiet Wing also asks the court to take judicial notice of the following facts:

1. When Quiet Wing's petition for preliminary injunction was pending, Coulson did not request that the Court except from its ruling, calling for destruction of drawings, any copies of those documents as part of a "litigation hold;"
2. The Court's Preliminary Injunction Order (Ex F) does not allow Coulson to retain any copies of the drawings as part of a "litigation hold;"
3. When Quiet Wing moved for an OSC re contempt because Coulson failed to comply with the Court's preliminary injunction order mandating that Coulson destroy all copies of the drawings, Coulson did not ask the court to allow it, or its counsel, to retain any copies as part of a litigation hold; and
4. Quiet Wing has filed a Notice of Withdrawal without prejudice, of the allegations in ¶67 of its Complaint.

Based on the record before the court and the fact that Coulson has not objected to these requests, the Court grants the 4 requests. GRANTED

Evidentiary Objection(s)

Quiet Wing makes twenty-six (26) objections to evidence offered in support of Coulson's Opposition. Quiet Wing withdrew objections 2, 5, 6, 23, and 24. OVERRULED AS TO 12-26.

Quiet Wing objects to Exhibits H, J, K, P, Q, S, T, U. (Objections 1-11.) Quiet Wing objects to relevance, lack of authentication, and improper legal conclusions. DECLINED, NOT RELEVANT TO RULING.

Quiet Wing also objects to deposition testimony. Quiet Wing challenges testimony where Britton Coulson stated the parties had an agreement to purchase the tanks. Quiet Wing also objects to testimony from Peter Swift about the parties' communications. Quiet Wing objects to Philip Kirk's testimony about his role in the deal between the parties. The objections are based on relevance, improper legal conclusions, and hearsay. The testimony is admissible, but the court notes the challenges to any legal conclusions contained within that testimony. The weight the court places on the testimony is separate from admissibility.

Summary Adjudication

Summary judgment is granted when a moving party establishes the right to entry of judgment as a matter of law. (CCP § 437c(c).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (CCP § 437c(p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

Defendant, as the moving party, has the burden to show either that one or more elements of the cause of action cannot be established or that there is a complete defense to that cause of action. (CCP §437c(p)(2).) Defendant can meet their burden by showing either: (1) affirmative evidence that shows an element of the claim cannot be established; or (2) showing an absence of evidence on a critical element of Plaintiff's claim.

Where Plaintiff seeks summary judgment, the burden is to produce admissible evidence on each element of a cause of action entitling plaintiff to judgment. (CCP §437c(p)(1).) It is not plaintiff's initial burden to disprove affirmative defenses and cross-complaints asserted by defendant. (See CCP §437c(p)(1); *Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468.)

Once the moving party has made such a showing, the burden shifts to the responding party to show that a triable issue of one or more material facts exists as to that cause of action or as to a defense to the cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.) If the responding party does not make such a showing, summary judgment in favor of the moving party is appropriate.

"The purpose of the summary judgment procedure is not to try the issues but merely to discover ... whether the parties *possess evidence* which demands the analysis of trial." (*Colvin v. City of Gardena* (1992) 11 Cal.App.4th 1270, 1275 (italics added).) Summary judgment can be granted only where the essential facts are either conceded or beyond dispute. If there is one, single material fact in dispute, the motion must be denied.

The court also has the power to summarily adjudicate that one or more causes of action have no merit, that there is no merit to one or more affirmative defenses, or that a defendant owed or did not owe a duty to plaintiff. A motion for summary adjudication shall only be granted if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (CCP §437c(f)(1).)

3rd Cause of Action – Declaratory Relief

Any person interested under a contract may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an action for declaration of his rights and duties including any question of construction or validity arising under the contract. (CCP §1060.) "Declaratory relief operates prospectively, serving to set controversies at rest...where there is an accrued cause of action for an actual breach of contract or other wrongful act, declaratory relief may be denied." (*Osseous Technologies of America v. Discovery Ortho Partners* (2010) 191 Cal. App. 4th 357, 366 (citing 5 Witkin, Cal. Procedure (5th ed. 2008) Pleading, §869, p.284).)

Quiet Wing seeks a declaration of its possessory right to the tanks and drawings to the exclusion of Coulson. Quiet Wing contends it is the rightful owner of the tank and drawings under the terms of the NDA dated August 10, 2020. (Comp. ¶149.) Quiet Wing argues two independent bases for the declaratory relief sought: (1) common law bailment principles entitle Quiet Wing to possession the tank and return/destruction of the accompanying drawings; and (2) the NDA entitles Quiet Wing to declaratory relief.

First, Quiet Wing argues the loan of the tank and drawings to Coulson created a bailment. “Defined broadly, bailment is ‘the delivery of a thing in trust for some special object or purpose, upon a contract, express or implied.’ [Citation.] [¶] A deposit of personal property to be cared for until the owner demands redelivery has been held to constitute bailment in a variety of factual contexts.” (*Greenberg Bros., Inc. v. Ernest W. Hahn, Inc.* 91966) 246 Cal.App.2d 529, 531 [“bailee for hire is liable only when he has been guilty of some negligence”].) “Where a bailment is for mutual benefit the bailee in the absence of a special contract is held to the exercise of ordinary care in relation to the subject-matter of the bailment and is responsible for loss or injury resulting from his failure to use ordinary care.” (*Windeler v. Scheers Jewelers* (1970) 8 Cal.App.3d 844, 850.)

“In our Civil Code, bailments are referred to as deposits (Civ Code, § 1813 et seq.), but the case law still often employs the common law term, bailment, as well as bailor and bailee.” (*Gebert v. Yank* (1985) 172 Cal.App.3d 544, 551.) A bailee is not an insurer of the goods left in his possession, he or she is only responsible “if the failure to redeliver is caused by his negligence. When the goods are lost, destroyed or damaged by accident, without any failure on the part of the bailee, the loss must fall on the bailor.” (*Gebert, supra*, 172 Cal.App.3d at 551, citation omitted.)

Quiet Wing’s bailment argument is too simplistic to resolve the dispute between the parties. The terms of the NDA provided specific provisions for the exchange of property between the parties. Simply arguing the common law idea of bailment meant Coulson had to give the item back to Quiet Wing upon Quiet Wing’s request ignores the existence and terms of the NDA.

Second, Quiet Wing argues the terms of the NDA entitle it to the declaratory relief sought. (UMF 5, Paragraph 5 of the NDA.) Quiet Wing presents evidence that Coulson admitted under oath the drawings are “confidential information” within the meaning of the NDA. (UMF 4, 19.) Coulson does not dispute this admission. (Response to UMF 19.) Quiet Wing also argues provisions under UMF 4. In opposition, Coulson argues the plain language of the NDA does not make the said piece of equipment confidential information.

When a dispute arises over the meaning of contract language, first the court must ask if the language is “reasonably susceptible” to the interpretation urged by the party. If it is, the court then asks what did the parties intend the language to mean? (*People ex rel. Lockyer v. R.J. Reynolds Tobacco Co.* (2003) 107 Cal.App.4th 516, 524.) “In interpreting an unambiguous contractual provision we are bound to give effect to the plain and ordinary meaning of the language used by the parties.” (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 684.) The court’s “paramount consideration” is the “parties’ objective intent when they entered into [the agreement].” (*People ex rel. Lockyer, supra*, 107 Cal.App.4th 525.) The dictionary definition of “information” is “knowledge that you get about someone or something: facts or details about a subject.” The NDA’s definition of “Confidential Information” therefore means any knowledge either party receives about assets, equipment, trade secrets, intellectual property, design, manufacturing, and technology, among others. (NDA ¶1.4.)

Here, it is difficult to imagine the disputed piece of equipment, which was designed by Quiet Wing (MSA 0087 at 17-18, MSA 0088 at 3-6), not qualifying as an asset, equipment, intellectual property, or technology. Certainly having the piece of equipment in its possession gave Coulson knowledge – “information” – about it. That was the entire reason the parties were working together: to see whether the equipment for a Series 700 AFT could be compatible with a Series 300. (MSA 0088 at 7-8.) Under the plain language of the NDA, the equipment qualified as Confidential Information.

Quiet Wing notes the equipment has not been disclosed to the public (UMF 15, 27) and was transmitted to Coulson while the NDA was in effect. (UMF 1, 11, 16.) This controlled disclosure does not make it “publicly available” for purposes of the NDA. Accordingly, Quiet Wing argues the equipment is confidential information under the terms of the NDA. Quiet Wing argues the fact that it made it available to the FAA for inspection does not mean it was publicly available. FAA Order 8110.4C, Appendix A, requires the FAA to not release proprietary information to any party who does not have written information from the applicant.

Quiet Wing notes the NDA prohibits the subject UMF 7. It seems obvious that the NDA would include a provision against such action, specifically to protect the parties from exchanging tangible items and then losing the proprietary information contained within those products. The inclusion of a provision against reverse engineering further indicates the parties intended for the NDA to apply to the physical auxiliary tank, as well as the related drawings.

The plain language of the NDA demonstrates the parties intended for the disputed piece of equipment to be included in the definition of “Confidential Information.” Accordingly, Quiet Wing is entitled to possession of the disputed piece of equipment and related drawings under the NDA. GRANTED.

4th Cause of Action – Breach of NDA for Specific Performance

Under its fourth cause of action, Quiet Wing seeks an adjudication that Coulson is in breach of the NDA and an order for specific performance: (a) granting Quiet Wing possession of the tank; and (b) directing Coulson to destroy all copies of the drawings and issue certifications regarding Coulson’s use, nondisclosure, and destruction of the same. The Court has already granted this relief on an interim basis, Quiet Wing seeks an adjudication that this injunctive relief of specific performance be granted on a permanent basis.

Originally, the Complaint sought an award of damages for Coulson’s alleged breach of the NDA. (Complaint ¶¶67.) However, Quiet Wing filed a notice of withdrawal, without prejudice, of the Complaint’s damages allegations in ¶¶67 only. (12/30/25 Notice of Withdrawal.) Thus, the court can fully dispose of the fourth cause of action via summary adjudication without deciding damages beyond the request for specific performance.

The resolution of this cause of action rests on a similar analysis to the previous claim. Quiet Wing presents evidence at all times relevant to this cause of action, the NDA was in effect between the parties. (UMF 11, 16.) As discussed above, the plain language of the NDA includes both the drawings and the disputed equipment as Confidential Information. Quiet Wing requested that Coulson return the tank and drawings, but Coulson did not do so until ordered by this court. (UMF 22-28.) Coulson has not presented any evidence that creates a triable issue of material fact as to its breach of the NDA. GRANTED.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2406011	QUIET WING AEROSPACE, LLC VS COULSON AVIATION (USA), INC.	PLAINTIFF/X-DEFENDANT QUIET WING AEROSPACE, LLC'S MOTION FOR SUMMARY JUDGMENT ON CROSS-COMPLAINT OF COULSON AVIATION (USA), INC.

Tentative Ruling: Granted.

Moving party to provide notice pursuant to CCP 1019.5.

Beginning in 2020, Plaintiff Quiet Wing Aerospace, LLC ("Plaintiff") and Defendant Coulson Aviation (USA), Inc, ("Defendant") began discussion regarding a mutually beneficial business arrangement relating to auxiliary aircraft fuel tanks for certain Boeing aircrafts. Negotiations broke down in 2023 but were later resumed. In October 2023, Defendant represented that it wanted to check whether the fuel tank would fit Boeing 300 series aircraft. Plaintiff agreed to lend Defendant a tank for the single purpose of fit testing it. Defendant picked up the tank, as well as drawings, plans and specs for the tank. On December 17, 2023, Plaintiff sent Defendant a proposed cooperation agreement. Defendant did not agree to the terms and made redline changes. Ultimately, the parties were not able to come to an agreement. Plaintiff demanded the return of the tank and drawings and began making arrangements for pickup. However, as of September 2024, Defendant refused to return the property.

On September 25, 2024, Plaintiff filed its Complaint. It asserts four causes of action for: (1) Conversion; (2) Injunctive Relief; (3) Declaratory Relief; and (4) Breach of Nondisclosure Agreement/Specific Performance.

On December 17, 2024, the Court issued a temporary restraining order ("TRO").

On January 10, 2025, the Court issued an order for writ of possession, directing Coulson to turn over possession of the tank and drawings to Quiet Wing. (RJN Ex. E.) On the same day, the court issued a preliminary injunction prohibiting Coulson from transferring any interest in Quiet Wing's property by sale, concealing or removing Quiet Wing's property, and impairing the value of the property; and mandating that Coulson transmit to Quiet Wing various certifications, including that no copies of the drawings had been made and to destroy or return any copies that had been made. (RJN Ex. F.) Those certifications were eventually provided after Quiet Wing applied for an OSC re: why Coulson and its COO should not be found in contempt of court for not producing the required certifications. (UMF 25-27.)

The tank, disputed equipment, is now back in Quiet Wing's possession pending final resolution of the parties' dispute over its ownership and possessory rights.

On January 16, 2025, Coulson Aviation filed its Cross-Complaint against Quiet Wing alleging: (1) breach of oral agreement; and (2) promissory estoppel.

On July 25, 2025, the court entered a Stipulation and Protective Order that restricts the use of materials designated "confidential" to this litigation and expressly prohibits any use "for any business or other purpose whatsoever." (Protective Order ¶7.)

Plaintiff Quiet Wing brings two separate motions for summary judgment/adjudication. Quiet Wing's second motion for summary judgment is to the entire Cross-Complaint, which consists of a breach of oral agreement claim and a promissory estoppel claim. Quiet Wing argues the breach

of oral agreement claim fails because there was no agreement between the parties. Quiet Wing argues the promissory estoppel claim fails because, since the parties did not agree to any material terms of an agreement, any alleged reliance by Coulson on the existence of an agreement between the parties was unreasonable.

Coulson opposes arguing there are triable issues of material facts as to all of the challenged causes of action. Coulson argues there was an agreement between the parties and it did not breach the NDA between the parties. Coulson argues it purchased the tank pursuant to a purchase agreement between the parties.

Evidentiary Objection(s)

Quiet Wing makes eleven (11) objections to evidence offered in support of Coulson's Opposition to the MSJ on Coulson's Cross-Complaint. Quiet Wing objects to Exhibits G, H, I, K, O, S, and U. (Objections 1-7.) Quiet Wing objects to these documents to the extent Coulson attempts to demonstrate the document contains material terms of the parties' alleged agreement (1-4). Quiet Wing objects to Exhibit O as an incomplete document. Quiet Wing objects to Exhibits S and U as irrelevant. DECLINED TO RULE ON 1-7 AS NOT MATERIAL TO RULING. OBJECTION 8-11 ARE OVERRULED.

Quiet Wing also objects to deposition testimony. Quiet Wing argues Britton Coulson's statements constitute improper legal conclusions about whether an agreement existed between the parties. As discussed below, whether the parties mutually assented to an agreement is an objective inquiry where the court does not look to the parties' unexpressed intentions or understandings. These statements are not inadmissible. Whether they are relevant to the court's analysis is another matter.

Summary Adjudication

Summary judgment is granted when a moving party establishes the right to entry of judgment as a matter of law. (CCP § 437c(c).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (CCP § 437c(p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

Defendant, as the moving party, has the burden to show either that one or more elements of the cause of action cannot be established or that there is a complete defense to that cause of action. (CCP § 437c(p)(2).) Defendant can meet their burden by showing either: (1) affirmative evidence that shows an element of the claim cannot be established; or (2) showing an absence of evidence on a critical element of Plaintiff's claim.

Where Plaintiff seeks summary judgment, the burden is to produce admissible evidence on each element of a cause of action entitling plaintiff to judgment. (CCP § 437c(p)(1).) It is not plaintiff's initial burden to disprove affirmative defenses and cross-complaints asserted by defendant. (See CCP § 437c(p)(1); *Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468.)

Once the moving party has made such a showing, the burden shifts to the responding party to show that a triable issue of one or more material facts exists as to that cause of action or as to a defense to the cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.) If the responding party does not make such a showing, summary judgment in favor of the moving party is appropriate.

"The purpose of the summary judgment procedure is not to try the issues but merely to discover ... whether the parties possess evidence which demands the analysis of trial." (*Colvin v. City of*

Gardena (1992) 11 Cal.App.4th 1270, 1275 (italics added).) Summary judgment can be granted only where the essential facts are either conceded or beyond dispute. If there is one, single material fact in dispute, the motion must be denied.

The court also has the power to summarily adjudicate that one or more causes of action have no merit, that there is no merit to one or more affirmative defenses, or that a defendant owed or did not owe a duty to plaintiff. A motion for summary adjudication shall only be granted if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (CCP §437c(f)(1).)

1ST Cause of Action - Breach of Oral Agreement

Quiet Wing argues Coulson cannot prevail on this cause of action for three reasons. First, there was no mutual assent between the parties on all material terms and conditions of the alleged oral agreement. Second, since Coulson responded to Quiet Wing's offer (the DCA) with a "counteroffer" (the redlined DCA), it rejected the terms and conditions of the DCA. Third, even if Coulson accepted the terms of the DCA, the DCA was too uncertain to be enforceable.

Mutual Assent

"An essential element of any contract is the consent of the parties or mutual assent." (*Donovan v. RRL Corp.* (2001) 26 Cal.4th 261, 270; Civ. Code §§ 1550, 1565.) Consent is typically shown by one party's offer, followed by the other's acceptance and its communication to the offeror. (Rest. 2d Contracts §§ 22(1), 23-24.) "Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and act, and not their unexpressed intentions or understandings." (*Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293 (citations omitted).) "The parties' outward manifestations must show that the parties all agreed 'upon the same thing in the same sense.'" (Ibid.) "The question is what the parties' objective manifestations of agreement or objective expressions of intent would lead a reasonable person to believe." (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1231 (citations omitted) (trial court granted summary adjudication of a breach of oral contract claim on the ground moving party succeeded in showing opposing party could not establish the existence of an oral contract).)

Quiet Wing argues the undisputed facts demonstrate the parties never agreed to all the material terms of a business venture. First, Britton's January 24, 2024 comment on the sticky note DCA shows there was no meeting of the minds on that material issue. (UMF 47.) Quiet Wing argues it is objectively reasonable to conclude that agreement was material to any contract between the parties. Quiet Wing also points to Britton's statements during negotiations which, Quiet Wing contends, reflect Coulson's lack of assent to the material terms of the proposed DCA. Specifically, Quiet Wing relies on UMF 41 and 54. Also on March 12, 2024, Britton sent Swift a redlined version of the DCA. (UMF 53.) Quiet Wing notes Coulson's redlined DCA contained 108 lines of changes and included material changes that sought to change the agreement from between the parties (UMF 53-62.) Neither party signed the DCA or the sticky note DCA. (UMF 50.) Quiet Wing never agreed to the terms and conditions of the redlined DCA. (UMF 63.) This evidence is sufficient to meet Quiet Wing's initial burden on summary judgment to show there was no mutual assent and, as a result, no agreement between the parties.

In Opposition, Coulson does not dispute many facts offered by Quiet Wing. Rather, Coulson disputes the *meaning* of various facts. For example, Coulson does not dispute that Britton sent the "sticky note DCA" with the comment: "What are you classifying as confidential data?" (UMF 48.) Instead, Coulson argues this provision was not "material" because Britton's email asked a clarifying question and did not condition acceptance on resolution of the question. (Response to

UMF 48.) Additionally, Coulson acknowledges Britton sent Swift a document (Response to UMF 53.) However, Coulson challenges (Response to UMF 53.) Coulson's evidence supporting this assertion is the Rios Gomez Declaration, Exhibit S. This Exhibit is an email thread between Swift and Britton Coulson, asking for answers to questions raised in an email chain between Abdulla Abdul Latheef and Peter Swift. This does not support Coulson's assertion that its intent was to prepare a separate agreement with the DCA as the starting point. Furthermore, as noted above, the relevant question in determining whether there was mutual assent to a contract is the parties' outward and objective manifestations of intent. (*Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293.) Unexpressed intentions or understandings are irrelevant. (Ibid.)

Here, Coulson does not present any evidence that demonstrates a triable issue of material fact. Rather, Coulson challenges the meaning of agreed-upon facts. Coulson contends Response to UMF 48. However, the very characterization of the question as "clarifying" indicates the parties had not come to an agreement about the terms in the DCA. Swift, Quiet Wing's COO, testified that he interpreted Britton Coulson's comment "other than that, it looks good" to mean Coulson was "in general agreement" with the DCA. (Rios Decl. Ex. C, 99:7-8.) Both Coulson's comment and Swift's testimony indicate both parties believed Coulson agreed and assented to the DCA generally, but not entirely. Again, there is no dispute about the facts. Instead, the parties disagree about whether the undisputed facts mean there was mutual assent to the terms of the DCA. Based on the evidence before the court, there was no mutual assent.

Without mutual assent, there can be no agreement. (Civil Code §§1550, 1565, 1580; *Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.,4th 793, 811.) Thus, Coulson cannot succeed on its breach of oral agreement claim. GRANTED.

Counteroffer/Rejection of DCA

The terms of an acceptance must match those in the offer. (*Panagotacos v. Bank of America* (1998) 60 Cal.App4th 851, 855-856.) Acceptance of an offer must be absolute and unqualified. (Civil Code §1585.) If the offeree proposes different terms, this constitutes a counteroffer. A counteroffer extinguishes the original offer, meaning it can no longer be accepted. (Civil Code §1585.) A mere request or inquiry proposing different terms may not constitute a counteroffer. (Rest.2d Contracts §§39, comm.b, 61.)

As discussed above, the undisputed facts show Coulson did not agree to all terms in the DCA as written. Instead, Coulson thought the agreement looked good *but for* the issue of what was classified as confidential data. Quiet Wing also argues that Coulson's statement the rest of the agreement "look[ed] good" is not objectively understood to amount to an absolute and unqualified acceptance of all terms. Quiet Wing is correct – Coulson's statement did not indicate an absolute and unqualified acceptance of the terms of the DCA. The court need not delve into the issue of whether Coulson's return of the sticky note DCA constituted a counteroffer because whether it did or did not the undisputed evidence demonstrates the parties did not mutually assent to the terms of the DCA at any time.

There was no mutual assent and no agreement. For this reason, the motion must be granted.

Uncertainty

Quiet Wing also provides evidence that the DCA reflected preliminary negotiations and a mere "agreement to agree," which is unenforceable as a contract. "If the document or contract that the parties agree to make is to contain a material term that is not already agreed on no contract has been made; and the so-called 'contract to make a contract' is not a contract at all." (*Louis Lesser Enterprises, Limited v. Roeder* (1962) 209 Cal.App.2d 401, 408.)

Quiet Wing presents evidence that the parties “agreed to agree” to various essential terms of the parties’ business arrangement. (UMF 28-31, 37-40.) The DCA includes an agreement to this (UMF 19.) Quiet Wing has presented evidence that the DCA, which the parties never mutually assented to, was simply an agreement to agree which is not enforceable as a contract. Coulson challenges this point in Opposition to the motion, but ultimately the contents of the agreement itself are irrelevant since the parties did not mutually assent to the terms.

2nd Cause of Action - Promissory Estoppel

The doctrine of promissory estoppel is an equitable remedy: “A promise which the promisor should reasonably expect to induce action or forbearance on the part of the promisee or third person and which does induce such action or forbearance is binding if injustice can be avoided only by enforcement of the promise.” (Rest.2d Contracts § 90(1); *C & K Engineering Contractors v. Amber Steel Co., Inc.* (1978) 23 Cal.3d 1, 6.) The elements of a promissory estoppel claim are: (1) a clear and unambiguous promise; (2) reasonable and foreseeable reliance by the party to whom the promise is made; (3) enforcement necessary to avoid injustice; (4) causation; and (5) harm or injury to the party asserting estoppel. (*US Ecology, Inc. v. State of Calif.* (2005) 129 Cal.App.4th 887, 901-905, 908.)

Quiet Wing argues Coulson’s promissory estoppel claim fails because Coulson’s alleged reliance upon the existence of an oral agreement between the parties was unreasonable. Quiet Wing argues based on the back and forth between the parties, it would be clear to any reasonable person that the parties were still negotiating and attempting to finalize an agreement. However, since there was no agreement, Quiet Wing argues Coulson’s reliance on any non-existent agreement was unreasonable.

Plaintiff’s reliance on the promise must be reasonable. If a party’s reliance on a statement is one which no reasonable person would rely, it is not justifiable. (*Daniels v. Select Portfolio Service, Inc.* (2016) 246 Cal.App.4th 1150, 1179 (disapproved on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 948.)) “Estoppel cannot be established from...preliminary discussions and negotiations.” (*Granadino v. Wells Fargo Bank, N.A.* (2105) 236 Cal.App.4th 411, 417 (citing *Garcia v. World Savings, FSB* (2010) 183 Cal.App.4th 1031, 1044.)) To establish a claim for promissory estoppel, the complaining party must demonstrate a promise was made and the complaining party relied on that promise to its detriment. (*Id.* at 437.) A promise is “an assurance that a person will or will not do something.” (Black’s Law Dictionary (12th ed. 2024))

In support of the motion, Quiet Wing relies on the same evidence discussed above: Coulson made multiple statements that the DCA did not reflect the parties understandings and discussions; the sticky note DCA demonstrated the parties did not agree to a material term of the agreement and the redlined DCA with material changes to the agreement indicated Coulson had not assented to the terms of the agreement. (UMF 41, 47, 53-62.)

Quiet Wing also points to the language of the NDA, DCA and redlined DCA and argues those documents all put Coulson on notice that it would be unreasonable to incur expenses in excess of \$1 million in reliance on Quiet Wing’s statements and conduct. The NDA states UMF 6. The DCA states UMF 21. Both the initial DCA and the redlined version stated each party would assumed its own costs associated with the negotiation, execution, and completion of the agreement. (UMF 39.)

From this evidence, it is unclear what promise Coulson contends it relied on. Quiet Wing has met its initial burden. The burden now shifts to Coulson to demonstrate a triable issue of material fact.

Coulson contends it “spent a significant amount of money” to induce one of its 737-300 aircraft into maintenance and began interior-design work to convert it from a passenger airplane into a corporate airplane. (AMF 16.) That conversion required removing the aircraft from storage and performing and estimated two to three million dollars of heavy maintenance. (AMF 17.) Coulson argues Quiet Wing applied “immense pressure” on Coulson to move quick so that Quiet Wing could complete the testing it needed. (Rios Gomez Decl. Ex. B (Coulson Depo 156:20-157:14.) Coulson’s evidence shows it relied on the agreement it believed existed between the parties, but it does not address whether that reliance was reasonable. Again, it is not clear what promise Quiet Wing made that Coulson relied on. Without a promise, there can be no promissory estoppel. Furthermore, even if there was a promise, the evidence demonstrates Coulson’s reliance on any promise between the parties was unreasonable. The parties never signed an agreement and, instead, were consistently discussing the terms of an agreement. (UMF 41-47, 51-52, 54.) Coulson relies heavily on Coulson’s statement the rest of the agreement “look[ed] good” when it sent back the sticky note DCA. Again, this evidence does not create any triable issue of material fact as the parties agree upon the facts. Coulson believes its reliance on an unclear promise was reasonable. Quiet Wing believes it was not. Quiet Wing is correct. GRANTED.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2501570	BOBS LLC, A NEVADA COMPANY VS CRITICAL ELECTRIC SYSTEMS GROUP LLC, A CALIFORNIA COMPANY	MOTION TO COMPEL DEFENDANT CRITICAL ELECTRIC SYSTEMS GROUP, LLC TO PROVIDE FURTHER RESPONSES TO SPECIAL INTERROGATORIES, SET TWO, BY BOBS LLC, A NEVADA COMPANY, PRIME ASSET, LLC

Tentative Ruling: Hearing continued per request and stipulation of parties to Monday, July 27, 2026 at 8:30 a.m., Department PS2.

No further briefing will be permitted.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2507350	D'SOL VS SELECT PORTFOLIO SERVICING, INC.	MOTION FOR LEAVE TO AMEND 1ST AMENDED COMPLAINT FOR OTHER REAL PROPERTY OF LUNA D'SOL BY LUNA D'SOL

Tentative Ruling: Granted.

No opposition filed.

Moving party to file their proposed Second Amended Complaint within 5 days of this order becoming final.

Moving party to provide notice pursuant to CCP 1019.5.

5.

CASE #	CASE NAME	HEARING NAME
CVPS2508584	MATTISON VS LOPEZ	DEMURRER ON 1ST AMENDED COMPLAINT FOR AUTO OF ALINA MATTISON BY UBER TECHNOLOGIES, INC.

Tentative Ruling: Hearing continued to Thursday, August 20, 2026 at 8:30 a.m., Department PS2 to be heard with related Motion to Strike on operative 1st Amended Complaint.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2600612	MILLER VS MYERS	DEMURRER ON 1ST AMENDED CROSS-COMPLAINT OF MOUNTAIN COVE CONDO, LLC BY DIANE MILLER

Tentative Ruling: Overruled.

Moving Plaintiff/Cross Defendant to file their answer to operative 1st Amended Cross Complaint of Mountain Cove Condo within 20 days of this order becoming final.

Responding party to provide notice pursuant to CCP 1019.5.

This action arises from Plaintiff and Cross-Defendant Diane Miller's ("Plaintiff") allegations of fraud against Defendants Daniel Beaugy ("Beaugy") and Robert Myers ("Myers").

On January 14, 2026, Plaintiff filed a Complaint against Defendants Beaugy, Myers, Robert Myers Retirement Plan ("Myers Retirement Plan"), REM Capital investments, LLC ("REM Capital"), Mountain Cove Condo, LLC ("Mountain Cove"), Lawyers Title – San Diego Escrow ("LT Escrow"), and Lawyers Title Company ("LTC"), asserting causes of action for: (1) Breach of Contract (as to Myers Retirement Plan only); (2) Elder Abuse – Count I (as to Beaugy only); (3) Elder Abuse – Count II (as to Myers and Myers Retirement Plan only); (4) Fraud (as to Myers, Myers Retirement Plan, REM Capital, and Mountain Cove only); (5) Negligent Misrepresentation (as to Myers, Myers Retirement Plan, REM Capital, and Mountain Cove only); (6) Conversion (as to Myers, Myers Retirement Plan, REM Capital, and Mountain Cove only); (7) Accounting (as to Myers, Myers Retirement Plan, REM Capital, and Beaugy only) and (8) Breach of Fiduciary Duty (as to LT Escrow and LTC only).

In the Complaint, Plaintiff alleges that at all times herein, she was over 65 years old and the owner of real property located at 46855 Mountain Cove 82, Indian Wells, California 92210 ("Property"). Plaintiff alleges that in late 2021 or early 2022, Beaugy began building a relationship of confidence and trust with her. Thereafter, Beaugy convinced Plaintiff to take a loan out against the Property and use the proceeds to invest in a mushroom farm in Escondido, California.

On February 7, 2022, Plaintiff applied for a \$165,000.00 loan from Miramar Financial Group, Inc. ("Miramar Loan"), which recorded a Promissory Note and Deed of Trust against the Property. Plaintiff alleges that Beaugy invested the entire amount in the mushroom farm, and that Plaintiff has never received any proceeds from the Miramar Loan. Plaintiff alleges that Myers is the sole owner and alter ego of Myers Retirement Plan, REM Capital, and Mountain Cove. Plaintiff further alleges that Beaugy owed REM Capital a prior debt that remained unpaid. Accordingly, Plaintiff alleges that Beaugy conspired with Myers to fraudulently use the Property as security for a new loan to pay off Beaugy's debts to REM Capital without Plaintiff's knowledge or consent. Accordingly, on June 24, 2022, Myers, through the Myers Retirement Plan, refinanced the Miramar Loan by opening escrow with LT Escrow. LTC ordered a title policy in conjunction with

the new loan ("Myers Loan"). Plaintiff alleges the Myers Loan was in the amount of \$265,000.00, as evidenced by a second Promissory Note and Deed of Trust recorded against the Property.

Plaintiff alleges that Myers ordered LT Escrow and LTC to distribute the following amounts from the Myers Loan without her knowledge or consent: (1) \$75,000.00 to REM Capital to pay off Beaugy's prior debt; and (2) \$19,125.60 directly to Beaugy. Plaintiff further alleges that LT Escrow and LTC distributed \$165,000.00 plus interest of \$2,818.00 to pay off the Miramar Loan. Plaintiff alleges that she did not receive any proceeds from the Myers Loan, and that REM Capital and Beaugy refused all demands to return her money once she discovered the existence of the Myers Loan.

Plaintiff alleges that on January 12, 2026, Myers Retirement Plan assigned all its rights in the Promissory Note and Deed of Trust to Mountain Cove Condo.

On April 15, 2026, Mountain Cove filed a Cross-Complaint against Plaintiff. The operative pleading is the First Amended Cross-Complaint ("FACC"), which Mountain Cove filed against Plaintiff on May 5, 2026, asserting causes of action for: (1) breach of contract; (2) judicial foreclosure; and (3) fraud.

In the FACC, Mountain Cove alleges that it is a special purpose entity formed by Myers, who is also the manager of REM Capital. In 2013, REM Capital loaned \$45,000.00 to Beaugy and Avantgarde Transportation, LLC, and Beaugy provided a Hummer limousine as collateral for the loan ("Hummer Loan"). In 2015, REM Capital repossessed the Hummer after Beaugy did not repay the Hummer Loan.

In March 2022, Beaugy approached Myers about investing in the mushroom farm that was funded by the Miramar Loan. Myers, Mountain Cove, REM Capital, and Myers Retirement Plan (collectively, "Myers Defendants") refused to do so. In response, Beaugy came up with the alternative idea to refinance the Miramar Loan to pay off the Hummer Loan and invest the remaining proceeds in the mushroom farm.

Mountain Cove alleges that when Myers questioned Beaugy why Plaintiff was willing to provide the Property as collateral for a new loan, Beaugy responded that Plaintiff was like a godmother to him, shared his vision regarding the mushroom farm, and that Beaugy would eventually purchase the property from Plaintiff. Based on these representations, Myers agreed to accept \$75,000.00 as payoff of the Hummer Loan.

Mountain Cove alleges that Myers never met or communicated with Plaintiff before making the Myers Loan, but only communicated with Beaugy, who Myers believed to be Plaintiff's agent. Nevertheless, Myers Retirement Plan issued the Myers Loan, which is evidenced by a Promissory Note dated June 23, 2022 ("Note") that was secured by a Deed of Trust on the Property ("Deed of Trust").

Mountain Cove alleges that Plaintiff signed the Note, which provides for interest of 10% per annum and called for monthly payments of \$2,350.00 from September 1, 2022 to November 30, 2025. Mountain Cove alleges that Plaintiff was provided with documents, including preliminary and final settlement statements, which made her aware that the proceeds of the Myer Loan would be used to pay off the Hummer Loan. Mountain Cove alleges that LTC delivered the net loan proceeds directly to Plaintiff on June 28, 2022, and that Plaintiff never complained that she was entitled to the Hummer Loan distribution until years later. Mountain Cove alleges that Plaintiff has not made a single payment on the Myers Loan and never had any intent to repay the Myers Loan.

On December 22, 2025, in anticipation of a future nonjudicial foreclosure of the Property, Myers Retirement Plan assigned the Note and Deed of Trust to Mountain Cove. On December 29, 2025, Mountain Cove initiated a nonjudicial foreclosure of the Property based on Plaintiff's defaults. On April 15, 2026, Myers Retirement Plan assigned all rights to claims against Plaintiff to Mountain Cove.

Plaintiff now demurs to the FACC and each cause of action for failure to state sufficient facts to constitute a cause of action. Specifically, Plaintiff alleges that no contract exists between the parties because Myers never communicated with Plaintiff prior to making the Myers Loan, there are no allegations that Beaugy was Plaintiff's agent, and Plaintiff never agreed to, or received consideration for, paying off the Hummer loan, as the settlement statement only describes the \$75,000.00 distribution as a "Lender fee to REM Capital Investments, LLC."

In opposition, Mountain Cove argues that Plaintiff only disputes the \$75,000.00 distribution from the Myers Loan, and fails to challenge the balance of the Myers Loan. Mountain Cove contends that a demurrer cannot lie as to only part of a cause of action. Mountain Cove further argues that Plaintiff's allegations that she was misled or did not authorize certain disbursements are improper at the demurrer stage.

Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of Univ. of Cal.* (1990) 51 Cal.3d 120, 125.)

The court assumes the truth of all material facts which have been properly pleaded and of facts which may be inferred from those expressly pleaded. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) A demurrer, however, does not admit contentions, deductions, or conclusions of fact or law. (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defects can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

1st Cause of Action - Breach of Contract

The elements of a breach of contract claim are: (1) the existence of a contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) resulting damages. (*San Mateo Union High School Dist. v. County of San Mateo* (2013) 213 Cal.App.4th 418, 439). "If [an] action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) Alternatively, the plaintiff or cross-complainant may also plead the legal effect of the contract. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198-199.) "In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant legal terms." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489).

Here, Mountain Cove attaches a copy of a preliminary settlement statement for the Myers Loan (FACC, ¶ 32) and Deed of Trust (FACC, Exh. A), both of which were signed by Plaintiff on June 23, 2022. The preliminary settlement statement and Deed of Trust state that the Myers Loan was for \$265,000.00. (FACC, ¶ 32, Exh. A.) Although Mountain Cove does not attach a copy of the Note, it alleges the Note's relevant legal terms, specifically that Plaintiff promised to make monthly payments of \$2,350.00 from September 1, 2022 until maturity on November 30, 2050. (FACC, ¶ 26.)

Plaintiff contends that the FACC does not contain any allegations that Beaugy was her agent. However, the FACC alleges that Myers believed Beaugy “to be working with Miller and acting as Miller’s agent.” (FACC, ¶ 19.) “An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer.” (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212.) Further, in general, the allegations in a pleading are liberally construed with a view to substantial justice between the parties. (C.C.P. § 452.) “This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1238.) Accordingly, the FACC sufficiently alleges that Beaugy was Plaintiff’s agent for purposes of executing the Myers Loan.

Plaintiff then argues that she never agreed to pay off the Hummer Loan from the Myers Loan proceeds, and that she received no consideration in exchange for paying off the Hummer Loan. Specifically, Plaintiff contends that the preliminary settlement statement only categorizes the \$75,000.00 distribution as a “Lender fee to REM Capital” rather than a payoff of Beaugy’s prior debt. (FACC, ¶ 32.) Accordingly, Plaintiff asserts that there was not “meeting of the minds” as to this contractual term. However, a party who signs a contract is presumed to have read and understood it. (*Bolans v. Khalatian* (1991) 231 Cal.App.3d 1586, 1590 [“When a person with the capacity of reading and understanding an instrument signs it, he may not, in the absence of fraud, coercion or excusable neglect, avoid its terms on the ground he failed to read it before signing it.”].) Similarly, one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with its language. (*Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 710.)

Here, the face of the FACC shows that Plaintiff signed the preliminary settlement statement and Deed of Trust. (FACC, ¶ 32 and Exh. A.) To the extent that Plaintiff raises an allegation of fraud as to the characterization of the \$75,000.00 loan, in ruling on a demurrer, a trial court may not “make any factual findings at all, including ‘implicit’ ones.” (*Mink v. Maccabee* (2004) 121 Cal.App.4th 835, 839.) The limited role of a demurrer is to test the legal sufficiency of a complaint. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) Plaintiff has failed to contest her agreement to the Myers Loan itself through judicially noticed documents or any legal authority. Accordingly, Mountain Cove has sufficiently alleged the existence of a contract between the parties for purposes of a demurrer. (FACC, ¶ 47.)

The FACC also sufficiently alleges the remaining elements of a breach of contract claim, as it states that Myers Retirement Plan and Mountain Cove performed all obligations by making the Myers Loan, Plaintiff breached the agreement by failing to make monthly payments, and such breach damaged Mountain Cove in the amount of all amounts due and owing. (FACC, ¶ 48-52.)
OVERULED.

2ND Cause of Action - Judicial Foreclosure

Code of Civil Procedure section 726(a) states in relevant part: “There can be but one form of action for the recovery of any debt or the enforcement of any right secured by mortgage upon real property or an estate for years therein....” “The purpose of the one action rule is to prevent a secured creditor from enforcing its rights by seeking recourse to more than one remedy, such as by obtaining both a money judgment on the mortgage debt and by foreclosing on the mortgage.” (*CJA Corp. v. Trans-Action Financial Corp.* (2001) 86 Cal.App.4th 664, 668-669.) The purpose of a foreclosure sale is to apply the security to payment of the debt and terminate the trustor’s equity right of redemption. (Bernhardt, *California Mortgages, Deeds of Trust, and Foreclosure Litigation* (4th Ed. Cal. CEB 2024), § 3.1A.) The court will determine whether the loan is in default, order the security sold to satisfy the loan balance and cut off the debtor’s equity right of redemption, declare the debtor for any deficiency, and enter a deficiency judgment. (*Id.*)

Plaintiff contends that Mountain Cove fails to state a cause of action for judicial foreclosure because it has failed to allege that the underlying loan is a valid, legally binding contract. Specifically, Plaintiff reiterates that she never agreed to pay off the Hummer Loan from the Myer Loan proceeds. (Opp., pp. 6-7.) However, as noted above, Plaintiff's argument fails to support a demurrer because it improperly attempts to resolve the issue on its merits. As discussed above, Mountain Cove sufficiently alleged that the Myers Loan was a valid contract by attaching a copy of the Deed of Trust and pleading the legal effect of the substantive terms of the Note. Accordingly, Mountain Cove has sufficiently alleged the existence of a valid loan for pleading purposes. Plaintiff fails to challenge the second cause of action for judicial foreclosure on other grounds. **OVERRULED.**

3RD Cause of Action - Fraud

The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.)

Fraud in the inducement is a subset of the fraud tort occurring when a promisor's consent is induced by fraud. (*Hinesley v. Oakshade Town Center* (2005) 135 Cal.App.4th 289, 294. *See also Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 973-74 ["A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. An action for promissory fraud may lie where a defendant fraudulently induces the plaintiff to enter into a contract"].)

Every element of a cause of action for fraud must be pled factually and specifically, and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) "This particularity requirement necessitates pleading *facts* which 'show how, when, where, to whom, and by what means the representations were tendered.' [Citation.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

Here, Plaintiff contends that she could not have induced Myers Retirement Plan into making the Myers Loan because Mountain Cove admits that Myers never met nor communicated with Plaintiff in any manner before making the Myers Loan. However, Mountain Cove sufficiently alleges that by signing the Note and Deed of Trust, Plaintiff promised that she intended to perform, i.e., repay the Myers Loan in accordance with its terms; that Plaintiff knew this representation was false at the time that she made it because she never intended to repay the Myers Loan; that Plaintiff made the false representation with the intent to induce Myers Retirement Plan to loan her \$265,000.00; and that Myers Retirement Plan justifiably relied on Plaintiff's representations and issued the Myers Loan, thereby resulting in damages. (FACC, ¶¶ 62-65, 67-68.) Accordingly, Mountain Cove has pleaded sufficient facts to state a cause of action for fraud against Plaintiff with the requisite particularity. **OVERRULED.**